

it was time to formalize their business relationship with a written agreement. This decision would probably not have been problematic in itself, but the terms that Woodruff proposed so angered Jordan that he broke off the partnership and filed a lawsuit against Woodruff. Woodruff's relationship with Blue Ridge ended shortly thereafter, and the firm was closed down a few months later.

Woodruff then established his own CTA, Woodruff Trading. He began trading in August 1994 with less than \$50,000 raised from family members. In the final five months of 1994, Woodruff lost 16 percent. He then lost an additional 12 percent in 1995. But this very inauspicious beginning was followed by a spectacular 180 percent gain in 1996. The performance streak continued into 1997, as Woodruff was up another 64 percent for the first four months of the year. But in the following five months, Woodruff surrendered more than half his year-to-date profits. At the peak, assets under management had reached only \$3 million. After his drawdown from the 1997 high point, losses and withdrawals had reduced assets to only about \$1.5 million. Woodruff was frustrated by his inability to raise substantial assets, the 20 percent drawdown from the 1997 high, and most of all by the fact that running the CTA business in addition to trading left him with no time to pursue his true career passion: predictive modeling. Woodruff decided he might do better seeking a proprietary trading job in New York. He returned the remaining assets to his investors, closed Woodruff Trading, and moved to New York to search for a job.

A friend of Woodruff had an uncle who was a highly prominent hedge fund manager. On her own volition, she arranged for Woodruff to interview with the president of the firm. Woodruff vividly recalls this interview, which took place in what he describes as "an amazing space." Woodruff spent about five minutes telling his story and explaining what he did. The firm's president then spent 10 minutes telling Woodruff that they had already tried every possible combination of what he was talking about, and it didn't work. He informed Woodruff that they didn't have a job for him because he was not "the type of person they hire." Woodruff laughed when he recalled his interviewer's advice, "You are wasting your time. This is a complete dead-end for you. You really need to be thinking about jobs outside of finance. I'm so glad we had a chance to meet today and talk this through."